DEBT & EQUITY

$24M Student Housing Refi: The Three-Year Clock Is the Real Underwriting

A floating-rate, short-term loan near UF reveals how lenders are pricing time, not just credit.

July 22, 2026 · RE Business Online · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

A $24 million refinancing for a 182-bed student housing property near the University of Florida campus closed last week. The headline is straightforward. The underwriting is not.

The loan is floating rate. The term is three years. The lender is GID, a private capital provider. The borrower is The Ardent Cos., a sponsor with a track record. The property, The Row, sits at 407 S.W. 13th Street in Gainesville, seven stories, with a resort-style deck, a reflective pool, and 4,315 square feet of ground-floor retail.

None of those facts explain why this deal got done. The explanation is in the structure: a three-year, floating-rate loan on a student housing asset in a market where the University of Florida enrolls more than 60,000 students and where the supply pipeline is constrained by land and local politics.

The lender is not underwriting the asset for the long term. It is underwriting the probability that the borrower can refinance or sell within three years. That is a bet on time, not on credit. And it is a bet that only works if the market believes the student housing sector will remain liquid enough to clear a refinancing in 2029.

Student housing has become a favored niche for private capital because the demand driver is structural: enrollment growth at large public universities, not employment growth or consumer spending. The University of Florida is one of the strongest enrollment stories in the country. Its undergraduate population has grown steadily, and the university has invested heavily in its campus and research infrastructure. The surrounding rental market benefits from a supply constraint: Gainesville is not easy to build in, and the best sites near campus are already developed.

That combination of demand stability and supply scarcity makes student housing near top-tier public universities a defensible asset class. But defensible does not mean liquid. And liquidity is what this loan is really testing.

The three-year term is the most revealing number in the deal. A five-year or seven-year loan would have given the borrower more time to amortize, more time to wait for a better rate environment, more time to find a buyer. A three-year term says the lender is willing to finance the asset but not willing to commit to it through a full cycle. It says the lender expects the borrower to have a credible exit strategy before the loan matures, and that the lender is not interested in being the long-term capital partner.

That is a reasonable position. Student housing is not immune to interest rate risk, construction risk, or enrollment volatility. A three-year term limits the lender's exposure to those risks while still allowing the borrower to access capital at a time when bank balance sheets are constrained and agency debt is not available for this asset type.

The floating-rate structure adds another layer of discipline. The borrower is taking the risk that short-term rates will not rise significantly over the next three years. If rates move higher, the debt service cost increases, and the property's net operating income must absorb the difference. That is a real constraint for a student housing asset where rent growth is limited by what students and their families can afford, especially in a market where new supply could eventually soften pricing.

The borrower, The Ardent Cos., is a known entity in the student housing space. That matters. Private lenders like GID are not underwriting assets in isolation. They are underwriting the sponsor's ability to manage the asset, lease it, and execute the exit plan. A sponsor with a track record reduces the lender's uncertainty about the borrower's behavior under stress. That is worth something in a market where trust is scarce.

JLL Capital Markets arranged the loan. Melissa Rose, Mike Brady, and Christian Johnston represented the borrower. The fact that a major brokerage was involved suggests the deal was competitive, at least among private capital providers. Banks are largely absent from this kind of lending. Agency debt through Fannie Mae and Freddie Mac is available for student housing but typically requires longer terms and more standardized underwriting. Private capital fills the gap for borrowers who need speed, flexibility, or a structure that does not fit agency guidelines.

The ground-floor retail component is worth noting. Four thousand three hundred fifteen square feet of retail in a student housing building is not a major income driver, but it adds complexity. Retail tenants have different lease structures, different credit profiles, and different operating risks than residential tenants. A lender underwriting the asset must evaluate the retail component's contribution to net operating income and its potential to create vacancy or legal risk. In a three-year loan, that complexity is manageable. In a longer-term loan, it would be a bigger concern.

What should a market participant take from this deal? For owners of student housing near strong universities, the message is that private capital is available but on short terms and floating rates. The cost of that capital is the risk that rates rise or that the refinancing market in 2029 is less accommodating than it is today. For lenders, the deal confirms that student housing near top-tier universities remains a viable niche for private credit, but only when the sponsor is credible and the term is short enough to limit exposure. For developers, the deal suggests that new student housing projects will need to pencil at a basis that allows for a three-year exit, not a seven-year hold.

The Row refinancing is not a signal that student housing lending is back to normal. It is a signal that private capital is willing to lend into this sector, but only on terms that protect the lender from the uncertainty of a full cycle. The borrower gets liquidity. The lender gets a short clock. That is the trade. And in this market, that trade is the only one that clears.

SOURCES

— RE Business Online — https://rebusinessonline.com/jll-secures-24m-refinancing-for-student-housing-property-near-university-of-florida/

LIGHT TOWER GROUP